

RESEARCH UPDATE / UNITED STATES / 8 OCTOBER 2026

Higher Yields, Uneven Effects

US Treasury repricing and the consequences for markets and the economy.

+79 bp

10-year Treasury yield

+85 bp

30-year mortgage rate

+3.73%

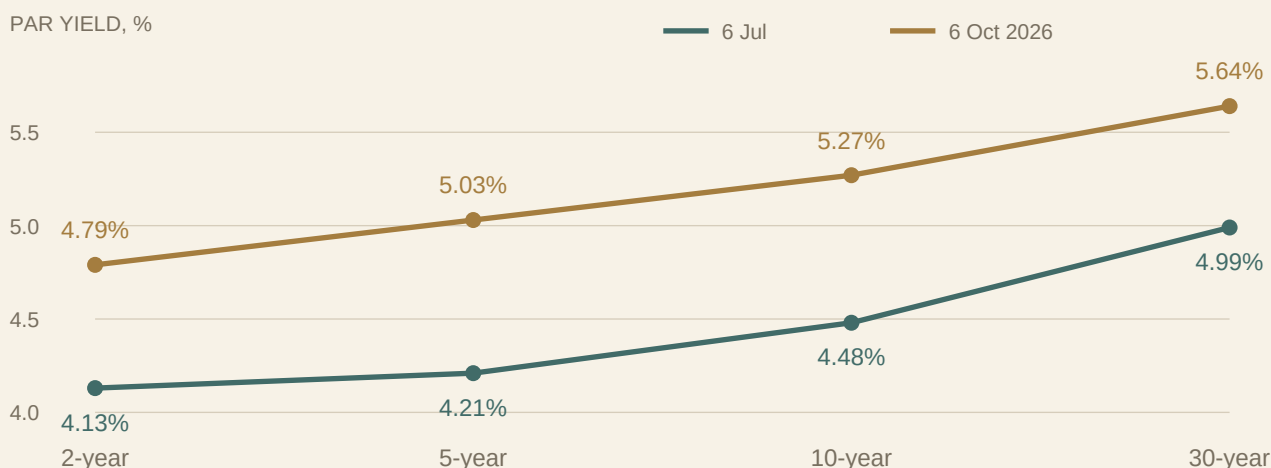
S&P 500 price index

Treasury and equity window: 6 July-6 October. Mortgage window: 2 July-1 October 2026.

Treasury yields have risen sharply, and mortgages have become more expensive. The wider economic picture is mixed: August spending and equipment indicators increased, while housing sent conflicting signals.

Financing pressure has increased. The available data do not yet establish that higher Treasury yields caused a broad downturn. Much of the activity evidence predates the further rise in rates in September and October.

A higher yield curve



The three-month move was broad. From 29 September to 6 October, shorter yields fell while longer maturities edged higher. Horizontal spacing shows selected maturity categories, not years to maturity. ¹

01 / READING THE REPRICING

What sits inside the rise in yields?

Inflation-indexed yields account for most of the change

+79 basis points



From 6 July to 6 October, the 10-year nominal yield rose from 4.48% to 5.27%. The inflation-indexed yield rose from 2.24% to 2.91%, while breakeven compensation moved from 2.24% to 2.36%.²

The split describes the change; it does not identify its causes. Breakeven compensation includes expected inflation, inflation risk and liquidity effects, so it is not a pure inflation forecast.²

The model separates two components of repricing

+73.29 basis points



Between 6 July and 2 October, the Kim-Wright fitted 10-year yield rose from 4.5222% to 5.2551%. The term premium increased from 0.7261% to 1.0847%; the implied expected-rate component rose from 3.7961% to 4.1704%.²

These are revisable staff-model estimates for zero-coupon yields. The expected-rate component averages rates over the bond's life, rather than predicting the next Fed decision. Its earlier endpoint also differs from the Treasury comparison.²

Two views of the same repricing. Do not add their contributions together. All chart figures are changes in basis points; each total equals its two components.

02 / FINANCIAL MARKETS

Borrowing costs rose. Equities held up.

New mortgages became more expensive

FREDDIE MAC / AVERAGE 30-YEAR FIXED RATE



The average rate increased by 85 bp. Borrowers taking out a mortgage at current rates face higher costs; existing fixed-rate loans do not automatically reset. The change does not establish Treasury yields as the sole cause.³

The S&P 500 gained over the full window

S&P 500 / PRICE INDEX, POINTS



The index rose 3.73%, excluding dividends. Stocks can rise alongside yields, but that does not tell us how they would have performed with lower rates, or rule out weakness in individual sectors.²

Other financial signals

The Chicago Fed NFCI moved from -0.545 to -0.494 between the weeks ending 4 September and 2 October, a rise of 0.051 index points. Conditions became less accommodative but remained looser than their historical average.²

The broad nominal dollar index rose 0.57%, from 120.6958 on 28 September to 121.3848 on 2 October. This is a short broad-dollar comparison, not DXY or the dollar-rupiah exchange rate.²

03 / ECONOMIC ACTIVITY

Spending and equipment were still growing.

AUGUST MONTHLY CHANGE



Consumer spending is inflation-adjusted. Equipment orders and shipments are nominal, seasonally adjusted dollar measures; the three series are not a single growth aggregate.

Households continued to spend

Real consumer spending rose 0.6% in August, following July's revised 0.1% increase. Real disposable income was unchanged. This shows aggregate spending was still growing, but does not rule out pressure on households later. ⁴

Selected equipment measures also increased

Nondefense capital-goods orders excluding aircraft rose from \$86.295 billion in July to \$87.640 billion in August, or 1.56%. Shipments increased from \$84.506 billion to \$84.960 billion, or 0.54%. Both series were updated on 2 October. ⁵

These measures are not adjusted for inflation and do not cover all investment. Orders indicate intended purchases; shipments record deliveries that may follow earlier decisions.

The policy and inflation backdrop

On 16 September, the Fed raised its target range by 25 bp to 3.75-4.00%. It described inflation as elevated and activity as expanding. ²

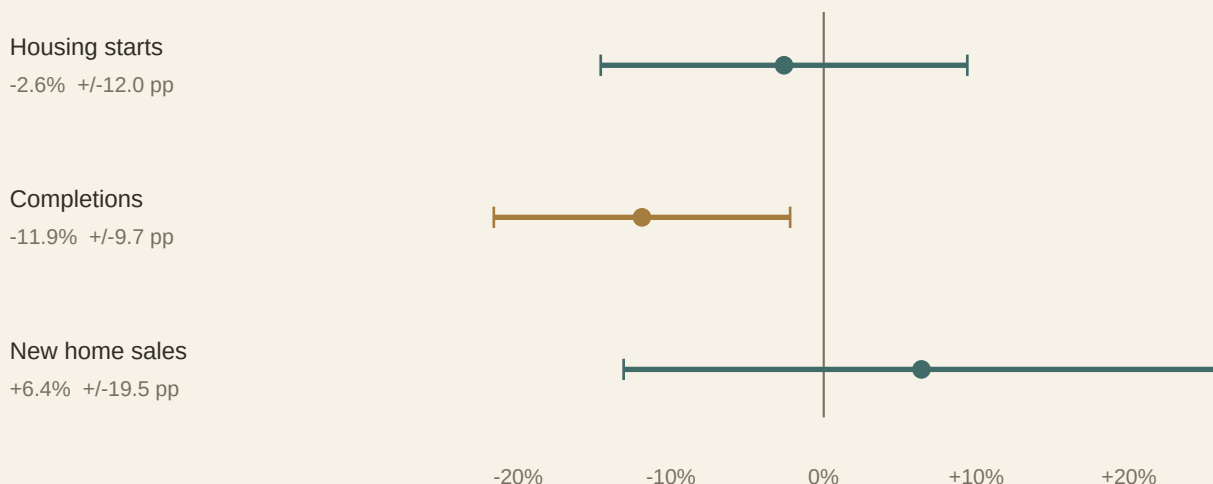
August headline CPI rose 0.4% over the month and 3.4% over the year. Core CPI rose 0.3% monthly; its annual rate eased from July's 2.5% to 2.4%. Monthly readings are seasonally adjusted; annual readings are not. Inflation was not accelerating uniformly. ⁶

Q2 real GDP grew at a 2.2% seasonally adjusted annualised rate, compared with a revised 2.5% in Q1. This describes the starting position, before the later July-October repricing. ⁴

04 / HOUSING

A weaker housing market? The evidence is mixed.

AUGUST MONTHLY CHANGE / 90% SAMPLING INTERVAL



Dots are point estimates. Lines show Census's 90% sampling intervals. An interval crossing zero does not establish a statistically significant monthly change.

Starts fell 2.6% in August, but their sampling margin was +/-12.0 percentage points. Completions fell 11.9%, with a margin of +/-9.7 points. Only the completions interval excludes zero among these three measures.⁵

New single-family home sales rose an estimated 6.4% to an annualised 684,000. The +/-19.5-point margin includes zero, so the reported increase does not establish a statistically clear recovery.⁵

Other construction signals

Building permits fell 2.7%. Single-family starts rose 7.6%, with a +/-14.0-point margin that also includes zero. Taken together, the data do not show a clear, uniform contraction.⁵

What can be attributed to higher rates?

Completions reflect projects begun earlier. August activity also predates the later rise in yields. These observations cannot assign the housing changes to current financing costs alone.

Construction figures were released on 17 September; new home sales on 24 September. Annualised levels are not the actual number of homes sold or built in one month. Sampling intervals do not capture every source of statistical uncertainty.

05 / OUR ASSESSMENT

Higher financing costs. An unfinished economic story.

What the evidence supports

Treasury yields and mortgage rates have risen. Borrowing at current mortgage rates is more expensive. That is the clearest financing pressure in this update.

What remains unresolved

August spending and selected equipment measures increased; housing was mixed. These results do not establish a broad downturn caused by Treasury repricing. Growth can continue while being weaker than it would have been with lower borrowing costs.

What to watch next

BEA schedules the first Q3 GDP estimate and September consumer-spending release for 29 October. Those releases will help close the gap between the market window and the activity data.⁴

Revisit the assessment if real spending or investment weakens across several releases, housing weakness becomes more consistent, or financing pressure eases. Revisions and other economic developments will matter.

Indonesian spillovers remain open. Rupiah moves, government-bond yields, portfolio flows and domestic policy need matching observation dates before drawing conclusions about Indonesia.

Core sources

1. US Treasury

July yields / September yields / October yields

2. Federal Reserve and FRED

Nominal yields / real yields / breakeven / TIPS interpretation / fitted yield / term premium / model / FOMC / equities / NFCI / dollar

3. Freddie Mac

Mortgage-rate archive

4. Bureau of Economic Analysis

GDP / consumer spending / release calendar

5. Census Bureau / HUD

Construction / construction notes / home sales / sales notes / equipment orders / shipments

6. Bureau of Labor Statistics

August CPI release

Reference numbers identify the source groups above; named records link to the underlying releases and series. Sources accessed 8 October 2026. Market cut-off: 6 October; individual series keep their stated dates. Monthly activity changes are seasonally adjusted unless stated otherwise. bp = basis points; pp = percentage points.